For example, the inflexibility of labour contracts – in particular the difficulty of firing employees – is seen as inefficient because it does not permit firms to react quickly to business conditions. Often, these prohibitions are ascribed to overly strong unions that hold the economy to ransom. But if courts are slow and corrupt, so that a worker who is wrongfully fired has no redress, perhaps the prohibition of firing – because violations are so easily and publicly observable – is the only way to protect workers from arbitrary decisions by employers. Job tenure may also act as a form of social security, necessary because the government does a miserable job providing a safety net, and private insurance markets do not exist. Admittedly, these explanations are speculative, and the truth may lie elsewhere. But my point is that crude, inefficient prohibitions on firing may be a robust response to a number of deficiencies in the system, many of which reinforce each other in subtle ways. If so, unions may command strong popular support because of deficiencies in the system rather than be the cause of them. This is not to say that inflexible contracts are without cost, but that altering them may require deep-rooted reform.

Consider another example. Small entrepreneurs in developed countries often have to pledge property as collateral for a loan. The poor in developing countries often lack clear title to their assets – such as the land they occupy. So, some analysts suggest, a way to give them access to finance is to give them clear title. In practice, however, this suggestion is hard to implement when so much else does not work. For one thing, how is the tenuous protection of existing private property affected when squatters obtain property rights? How will informal ways of establishing ownership by determining the historical antecedents of a particular piece of property be misused when local thugs and politicians can coerce the citizenry? Instead of analysing the